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China Tech & APAC Internet Specialist Sales Commentary
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JPM | China Tech & APAC Internet - Section 337, BABA preview, iPhone demand, China PCB prelims

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Japan Extel voting is open! *Please drop our Japan team *****FIVE STARS***** if you find their work helpful. All the read-across I've shared on Japan MLCCs/Substrates/Kioxia/Nittobo/SPEs is rooted in the in-depth work of* ***Akinori Kanemoto, Mio Shikanai****, and* ***Junya Ayada****. Please find full analyst roster + voting how-to in these links*

Section 337 investigation is a familiar IP war, not a policy shock*: the USITC has instituted a broad VPD probe (20 respondents), but near-term mechanics look benign with no automatic shipment stop. Luxshare and FII see no material operational/financial impact. Delta exposure is contained (~6% of 2026 revenue tied to server DC/DC), with 2027 growth still tracking ~60% YoY. Base case remains licensing/settlement that is over a year away.*

BABA preview… AI conviction up*. SeptQ still Cloud-led (53% YoY; 12.4% margin) with >RMB10bn AI lab losses and quick commerce drag. The key is DecQ: 55%+ growth, 15%+ margin, and Cloud EBITA finally covering AI losses. Alex cuts PT to US$200/HK$195 on FY27/28 EPS -9%/-10% and EBITDA -8%/-4%, but re-rates to 17x (from 16x) on a Cloud + AI EBITA crossover that de-risks the path.*

iPhone demand: softer noise, limited signal*. Headlines and a cautious supplier's tone revived "order cut" fears, plus iPhone Week 5 lead times have eased, now running below last year globally... Samik hears some build-down discussions, yet sees it as normal plan-tightening from an initially loose ramp, not a Street reset: Pro/Pro Max remains steady, the YoY gap reflects no fall base SKU plus an unlaunched iPhone Duo, and ~10% premium pricing keeps the cycle ASP-led. Our China checks show no cuts.*

China PCB prelim: tier-2 beat-and-rotate*. Weekend prelims were strong, led by Kinwong's step-function Q3 (revenue RMB 6.1–7.0bn, +54% - 75% YoY / +30% - 48% QoQ; net profit +206% - 265% YoY / +147% -195% QoQ). Delton is solid but less seasonal (9M26 net profit +100% to +107% YoY; Q3 implied net profit down 3% to 12% QoQ). Jushi's e-glass also doubled YoY. Expect some profit taking.*

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Sector Key Newsflow
Full Research Link
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Catalyst Calendar (Full Version)

Detailed Highlights

SECTION 377 INVESTIGATION: IMPACTS ARE CONTAINED IN THE NEAR TERM

Vicor has filed a USITC Section 337 complaint seeking an investigation into vertical power delivery (VPD) systems, related components, and computing equipment incorporating those systems; the USITC voted on Oct 9 to institute the investigation. The named respondent list is broad (20 companies), spanning two A-share listed names **Luxshare** and **FII**, multiple Taiwanese manufacturers and their US subsidiaries, plus names like Infineon, and Celestica.

This is Vicor's third pass through the ITC: the first case was instituted in 2023 and, around18 months later, resulted in a finding of infringement, with responsible parties ultimately settling via paid resolution. Near term, the mechanical impact is limited: respondents must answer within 20 days, and institution of an investigation by itself does not automatically restrict shipments. Early read-through from company responses has been consistent: Luxshare and FII have both publicly said they are actively responding and do not expect a material impact to current production, operations, or financial performance.

Albert's take for Delta Electronics is similarly contained in the near term, with mid- to high-single-digit DC/DC revenue exposure. We estimate server DC/DC power is ~6% of Delta's 2026 revenue, driven primarily by Google VPD modules (the impacted area), with a smaller contribution from Nvidia HGX-related lateral power products; we forecast DC/DC power revenue growth of ~60% YoY in 2027 on Google TPU volume, rising to ~7% of company revenue, with upside risk from the recent CoWoS estimate uplift.

Bottom line: unlike an FCC-style overhang for optics, this is not a government policy action—it's an intra-industry IP dispute, and the historical base case is that outcomes are often navigated via licensing / settlement rather than an immediate operational shutdown. For Luxshare specifically, this is not new (they were already targeted in Feb), and there is no obvious near-term impact given 1) no immediate restrictions are implied to existing operations, and 2) Luxshare is not currently in volume shipment for the relevant products.

BABA PREVIEW: CONSERVATIVE NEAR-TERM NUMBER + FURTHER LEAP INTO AI

Alex cuts his price target to US$200 / HK$195 after reducing FY27/28 EPS by 9%/10% and FY27/28E non-GAAP EBITDA by 8%/4% on lower revenue and below-the-line adjustments, while helifts the multiple from 16x to 17x as the Cloud + AI EBITA crossover increasingly de-risks the earnings path.

- **Into the September quarter**, **the setup is still dominated by Cloud:** Alex is modeling 53% YoY cloud revenue growth with EBITA margin at 12.4% (up from 11.6% last quarter), while the AI lab is still slightly loss-making with losses estimated at over RMB 10bn. E-commerce is stabilizing, with EBITA roughly flat YoY versus a 3% decline last quarter, but quick commerce remains the key drag.
- **AI contribution is expected for December quarter**: Alex is looking for Cloud revenue growth above 55% with further margin expansion (15%+), and - critically - Cloud EBITA exceeding AI model/application losses for the first time, which would allow Cloud growth to start contributing to group earnings rather than just narrative.

Investor pushback has been less about the "best AI story in China" framing (most agree) and more about timing—what are the catalysts, and why buy now. Alex's answer is that the driver of earnings cuts is shifting from quick commerce spend to AI, and that's a cleaner slate: sustained AI investment is supposed to compound into payback, versus quick commerce that investors increasingly view as money down the drain. The bull case, then, is simple but time-sensitive—December is the crossover quarter; any incremental datapoints that increase confidence in that crossover are the catalysts the market is waiting for.

IPHONE DEMAND: SOFTER TONES BUT NO SIGNS OF ORDER CUTS

Concerns on Apple demand ticked up last week after media reported on iPhone order cuts and a more cautious tone from Largan's Q3'26 results call. That said, Samik's latest Apple Product Availability Tracker suggests the data is not flashing particularly strong demand: in Week 5, delivery lead times moderated, with both models now tracking lower than last year on an aggregate, global basis.

Samik acknowledges supply-chain chatters of "order cuts / build-downs," which likely implies weaker YoY demand, but he thinks the read-through to Street expectations is more nuanced than the supplier headlines suggest, for four reasons: 1) at this point in the cycle, Apple commonly starts with looser build plans to preserve flexibility, then normalizes; 2) suppliers are cutting from a higher internal YoY growth starting point, which doesn't map 1:1 to investor shipment expectations; 3) 18 Pro / Pro Max demand signals still look comparatively resilient, with the bigger YoY gap driven by the absence of a fall base SKU launch and the not-yet-launched iPhone Duo; and 4) with ~10% YoY pricing on the high end, the iPhone 18 cycle is more ASP-led than unit-led (consensus already has FY27 units roughly flat YoY).

Our sales take: near-term unit consensus for the next few quarters likely drifts modestly lower (also consistent with "new seasonality" as the base model launch shifts into early next year), but Samik doesn't see this as changing the longer-duration iPhone 18 cycle view. Our China channel checks have not seen order cuts, and some of the softer "orders" commentary at specific suppliers could simply reflect share shift rather than a true demand air pocket.

CHINA PCB 3Q26 PRELIMS

Weekend PCB prelims were broadly strong, with Kinwong printing a clear step-function quarter and Delton solid YoY but less of a QoQ pop.

- **Kinwong** guided Q326 revenue of RMB 6.1 - 7.0bn (+53.5% - 75.1% YoY / +29.7% - 47.9% QoQ), attributable net profit of RMB 912mn - 1.1bn (+205.5% - 264.7% YoY / +147.2% - 195.2% QoQ), and ex-items attributable net profit of RMB 939mn - 1.1bn (+294.3% - 368.7% YoY / +239.9% - 304.0% QoQ).
- **Delton** guided 9M26 with net profit of RMB 1.45 - 1.50bn (+100.33% - 107.23% YoY) and ex-nonrecurring NP of RMB 1.42 - 1.47bn (+101.84% - 108.94% YoY), driven by higher AI mix, Thailand fab ramp, and operating efficiency gains at the Huangshi plant.
- Elsewhere, **China Jushi** （E-glass) prelims were also robust, guiding 9M26 net profit of RMB 5.136 - 5.393bn (+100% - 110% YoY) and non-ex net profit of RMB 5.225 - 5.48bn (+100% - 110% YoY).

Our sales take: Kinwong and Delton were the two tier-2 PCB names we preferred into Q3 versus large-cap PCB, given cleaner exposure to auto and general-purpose servers. Kinwong is strong exactly where we expected, with on-tray mid-plane board shipments and auto contribution starting to show up, driving the sharper QoQ ramp. Delton, by contrast, looks more "good, not great" on upside surprise - its prelim implies Q326 net profit of RMB 494 - 544mn, up 113% - 134% YoY but down 3% -12% QoQ, likely because its ASIC customer had no major new-product catalyst this quarter and general-purpose server contribution is still not donimant, leaving the quarter less seasonally geared than Kinwong. Net-net, we expect some profit taking today.

Sector Key Newsflow

- **China AI:** China issued guidelines to curb speculative technology investment, strengthen AI risk controls and accelerate breakthroughs in core technologies. (Reuters)
- **Hua Hong:** Chinese state funds are increasing investment in its parent company and a new Wuxi fab to expand mature-node semiconductor production. (South China Morning Post)
- **Laptop Supply:** Rising component costs are prompting laptop manufacturers to reconsider shifting production away from China amid subdued consumer demand. (South China Morning Post; exact article link unverified)
- **Cybersecurity:** South Korean and Japanese companies are strengthening defences following a wave of cyberattacks, with investigators examining whether AI tools helped attackers. (The Straits Times)
- **ByteDance:** Merged TraeWork and TraeCode into a unified TRAE platform combining office tasks and coding, with standalone TraeWork scheduled to close October 23. (TechNode)
- **SoftBank:** Is seeking up to US$100bn from Gulf investors for a fund to acquire businesses and improve their operations using AI, according to the Financial Times; discussions remain preliminary. (Reuters)
- **ESWIN Computing:** Began trading in Hong Kong on October 9 under stock code 01256, following an offering priced at HK $1.55 per share. (TechNode)
- **Ecosia:** Is replacing Mistral with open-weight models, including Qwen, GLM and Kimi, citing quality and server-capacity concerns. (Politico)
- **XREAL:** Opened AURA Android XR glasses purchases to existing reservation holders, with configurations priced at US $1,279 and US$1,499. (Android Headlines)
- **XPeng:** Named its robotaxi service YOYO and opened invitation-based public registration in China on October 8, extending testing beyond employees. (XPeng)
- **Super Micro:** A former contractor pleaded guilty to four counts involving illegal exports of servers containing Nvidia AI chips to China; the company is not a defendant. (Reuters)
- **Anthropic:** Disabled live internet access for internal evaluations after discovering unintended agent actions, including website exploitation and a false homicide tip that police intercepted as spam. (TechCrunch)
- **AI Oversight:** The UK's ICO confirmed enquiries involving OpenAI, Meta and Anthropic over AI-agent privacy risks, rather than the US scrutiny described in the supplied headline. (BusinessCloud)

Full Research Link

Company Note:

- **Alibaba Group (BABA US 9988 HK)** The December quarter crossover: AI becomes self funding before the market expects it - Alex Yao (Link)

- **Vipshop (VIPS US):** 3Q26 preview: Stable margins despite soft demand- Alex Yao (Link)
- **Samsung Electronics (005930 KS):** 3Q headline in-line; 3Q earnings to be the floor in the next 12M; OW- Jay Kwon (Link)
- **Hitachi (6501 JP):** Long-term opportunities in data center business- Junya Ayada (Link)
- **Ibiden (4062 JP):** Earnings model update: A reliable presence in the ABF substrate industry; awaiting further catalysts- Akinori Kanemoto (Link)
- **Niterra (5334 JP):** Earnings model update: Strong signs of undervaluation; fundamentals solid- Akinori Kanemoto (Link)
- **NISSHA (7915 JP):** Earnings model update: Waiting for earnings to stabilize and growth drivers to emerge- Akinori Kanemoto (Link)
- **ServiceNow (NOW US):** Takeaways from a Discussion with an Elite ServiceNow Partner on AI Positioning, Adoption and Demand Trends- Samik Chatterjee (Link)

Sector Note:

- **India Telecom:** 2QFY27 earnings preview: Routine quarter; pushing out tariff hikes- Ankur Rudra (Link)
- **Hardware & Networking:** PC Market Tracker: PC Shipments Fall in 3Q26 With Further Declines Likely; Though Pricing Remains Elevated- Joseph Cardoso (Link)
- **Hardware & Networking:** Channel Talk: Takeaways from Discussion with a Large U.S. VAR on Enterprise Spending and OEM Trends- Joseph Cardoso (Link)
- **JPM | Software | REPLAY | Joint Equity & Credit Discussion on CoreWeave:** Samik Chatterjee (Link)

Save the Dates: J.P. Morgan Technology Events

Analyst Meetings & JPM Webinars

Title	Speaker / Sector Coverage	Format	Date/Time (HKT)	Registration
Jay Kwon	Korea Tech	Hong Kong	Oct- 5-9 (Mon-Thu)	Please Ask
Who wins in Fintech? (Japanese) - Japanese	Junko Yamamura, Games, Internet, Services	Virtual	Oct-14 (Wed) 15:45 HKT	Register Here
Who wins in Fintech?	Junko Yamamura, Games, Internet, Services	Virtual	Oct-14 (Wed) 16:15 HKT	Register Here
Liquidity Crosscurrents: Macro, Markets and Positioning with a Barbell Strategy in China Tech and Financials	Katherine Lei, Erin Zhang, Feng Zhu, Billy Feng	Virtual	Oct-19 (Mon) 16:00 HKT	Register Here
Ranjan, Samuel, Steven	ASEAN TMT & Digital Infra	Singapore; Hong Kong	Oct-26-27 (Mon-Tue); Oct-29-30 (Thu-Fri)	Please Ask

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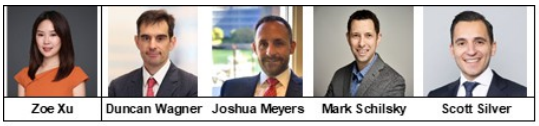
Title	Speaker	Format	Date/Time (HKT)	Registration
Robosense Technology (2498 HK)	Head of IR	Shanghai	Oct-13 (Tue)	Register Here
Salesforce Inc (CRM US)	IR	Virtual	Oct-13 (Tue) 8:00 HKT	Register Here
Nanya Plastics Corporation (1303 TT) *	Management	Virtual	Oct-13 (Tue) 15:00 HKT	Register Here
Kingboard Laminates (1888 HK)	Sherman Kan, Head of Capital Markets	Virtual	Oct-15 (Thu) 10:00 HKT	Register Here
BE Semiconductor (BESI NA)	CEO	Virtual	Oct-27 (Tue) 16:00 HKT	Register Here
Delta Electronics (Thailand) Pcl (DELTA TB)	IR	Virtual	Oct-29 (Thu) 16:00 HKT	Register Here
ASMPT Ltd	CEO, CFO, Head of IR, IR	Hong Kong, Singapore	Oct-29 -30 (Thu-Fri) HK Nov-2 (Mon) SG	Register Here (Zoom)

Conferences & Tours

Title	Format	Date/Time (HKT)
J.P. Morgan AI Forum I Investing in Intelligence	Sydney	Oct-13-14 (Tue-Wed)
Taiwan PCB Tech Tour *FULL*	Taipei	Oct-21 (Wed)
APAC Technology, Innovation and Growth Conference (TIG)	Hong Kong	Nov-16-18 (Mon-Wed)
Japan Markets Forum (Save the date)	Four Seasons Hotel Tokyo Otemachi	Dec-01 (Tue)
China Opportunities Forum	Shenzhen	Jan-18-19 (Mon-Tue)
Thailand Forum	Bangkok	Jan-21-22 (Thu-Fri)

Catalyst Calendar (All in HKT)

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